

LIBERALISM AND NEOLIBERALISM

UPSC PRELIMS + GS MAINS | PRIMARY HOME: GS-II CONCEPTUAL FOUNDATIONS

Continuous core-first rail | Advanced enrichment stays subordinate to the GS core

1 ORIGIN AND DATED RAIL

Late 17th century	The principle of liberation from an authoritarian state
John Locke (1632-1704)	English philosopher; father of liberalism
Adam Smith (1723-90)	English-listed philosopher; father of economics
Jeremy Bentham (1748-1832)	Founder of utilitarianism
1789	The French Revolution
John Stuart Mill (1806-73)	English philosopher
Herbert Spencer (1820-1903)	English philosopher
T. H. Green (1836-82)	English philosopher
L. T. Hobhouse (1864-1929), Harold J. Laski (1893-1950), R. H. Tawney (1880-1962)	English philosophers
1920	R. H. Tawney, The Acquisitive Society
Second half of the 20th century	F. A. Hayek (1889-1992), Austrian thinker; Milton Friedman (1912-2006), American economist; Robert Nozick (1938-2002), American philosopher
MECHANISM	Chronology fixes what each named work actually changed, so the argument cannot slide into a vague rise-and-fall story.
TRAP / LIMIT	Liberalism always means anti-state politics -> Gauba explicitly distinguishes classical negative liberalism from welfare positive liberalism
ANSWER LINE	Liberalism is the starting point for understanding rights, constitutionalism, limited government, consent and the rule of law in modern politics

2 CORE DEFINITIONS THE EXAMINER EXPECTS VERBATIM

Term	Exam-ready meaning
Liberalism	A political principle that places liberty of the individual at the centre of public policy, especially freedom from authoritarian restraint
Authoritarian state	A state in which authority is treated as unquestionable and its directives must be obeyed without challenge
Classical / negative liberalism	The laissez-faire strand that confines the state to protection of life, property, contract and minimal common services
Welfare / positive liberalism	The strand that gives the state a positive role in securing a dignified life, welfare and self-development
Welfare state	A state that provides social security, education, health and other public services to secure social well-being
Neoliberalism / neo-classical liberalism / libertarianism	Gauba groups these closely as a restoration of laissez-faire and welfare-state rollback. For conceptual precision, market neoliberalism (Hayek/Friedman) and rights-based libertarianism (Nozick) overlap but are not identical
Constitutionalism	Organization of the state according to a constitution so that power is structured and limited rather than arbitrary
MECHANISM	Definition control is the cheapest mark in this topic: the stem is usually built from one of these exact terms.
TRAP / LIMIT	Neoliberalism and liberalism are identical -> Neoliberalism is a contemporary restoration of laissez-faire within the wider liberal family
ANSWER LINE	Liberalism emerged historically in the West to attack feudal privilege and create space for the entrepreneurial class against authoritarian rule

3 CHAPTER SPINE, STEP BY STEP

● Liberalism emerged historically in the West to attack feudal privilege and create space for the entrepreneurial class against authoritarian rule	
● Its core tenets include rational individuality, natural rights, consent, civil society and state as artificial institutions, primacy of fair procedure, civil liberties, contract and group bargaining	
● In its early classical phase, Locke, Smith and Bentham defend laissez-faire and the negative role of the state; the state is treated as a necessary evil and the individual as the end	
● Mill and then Green, Hobhouse, Laski and Tawney move liberalism toward welfare and positive state action to secure a dignified life	
● Gauba then identifies neoliberalism as a twentieth-century effort, associated with Hayek, Friedman and Nozick, to roll back welfare-state expansion and restore market-led liberty	
● The chapter closes with criticism of liberalism's bourgeois character, unequal group power and welfare-state limits, but also credits liberalism with rationalism, constitutionalism and an expandable language of freedom, equality and justice	
MECHANISM	The spine is the order in which the source itself develops the argument; reproducing it keeps the answer sequenced rather than listed.
TRAP / LIMIT	Hayek, Friedman and Nozick defend one identical doctrine -> Gauba groups them for rollback purposes, but Hayekian spontaneous order, Friedmanite market freedom and Nozickian entitlement/minimal-state reasoning remain distinct arguments
ANSWER LINE	Thinker - Position in brief

4 ESSENTIAL DISTINCTIONS

DISTINCTION - Liberalism vs authoritarianism - Classical vs welfare liberalism - Welfare liberalism vs neoliberalism - Individualism vs utilitarianism - Capitalism vs constitutionalism - Neoliberalism vs libertarianism	WHAT TO SAY PRECISELY - Liberalism opposes unquestioned and arbitrary authority and demands limits on power plus rights for individuals - Classical liberalism wants minimal state interference; welfare liberalism wants positive state action for dignity and welfare - Welfare liberalism expands state responsibility; neoliberalism wants to roll back intervention and restore laissez-faire individualism - Early liberal thought develops both through rights-bearing individualism and through happiness-maximizing utilitarianism, though Mill pulls utilitarianism toward liberty and welfare reform - Gauba says liberalism today is invoked both as a theory of capitalism and as a theory of constitutionalism; the second has more lasting political value - Hayek and Friedman chiefly defend market coordination and limits on welfare intervention; Nozick grounds a minimal state in self-ownership and entitlement. The labels may overlap in Gauba, but the arguments should not be treated as interchangeable
MECHANISM	Each distinction is a close-option firewall: the wrong answer usually collapses two of these into one.
TRAP / LIMIT	Liberalism only protects property and has nothing to do with constitutionalism -> Gauba says liberalism's lasting value survives strongly as constitutionalism and limits on arbitrary power
ANSWER LINE	Liberalism always means anti-state politics. -> Gauba explicitly distinguishes classical negative liberalism from welfare positive liberalism

5 THINKERS, NAMED WORKS AND THE PROPOSITIONS THEY FIX

John Locke Father of liberalism; early defender of rights, consent and limited government within classical liberalism	Adam Smith Early liberal defender of laissez-faire and market society
Jeremy Bentham Founder of utilitarianism, focused on greatest happiness, but still part of early liberal development	J.S. Mill Modifies utilitarianism, elevates liberty, and opens the road toward taxation for welfare and a positive state role
T.H. Green Adds a moral dimension and advances a fuller theory of welfare liberalism	Hobhouse / Laski / Tawney Develop the welfare-state tradition in the first half of the twentieth century
Hayek / Friedman / Nozick Chief exponents of neoliberal or libertarian rollback against the welfare state	
MECHANISM	A named proposition earns marks only when it is tied to the analytical use the question demands.
TRAP / LIMIT	Welfare liberalism abandoned liberty -> Its claim is that liberty needs supportive conditions, not merely absence of restraint
ANSWER LINE	Liberalism puts individual liberty at the centre of public policy and opposes arbitrary authority

6 ILLUSTRATIONS ATTACHED TO THE CLAIMS THEY SUPPORT

A classical liberal state protects life, property and A classical liberal state protects life, property and contract and avoids broad interference in production and exchange	A welfare liberal state taxes and regulates in order to A welfare liberal state taxes and regulates in order to provide education, health and social security, because dignity requires more than non-interference alone
A neoliberal response says forced transfer of resources harms A neoliberal response says forced transfer of resources harms liberty and that markets coordinate needs better than governments can	Gauba's own criticism notes that representative institutions Gauba's own criticism notes that representative institutions may still reflect unequal group organization and vocal power, as in his India example of concentrated business interests versus diffuse consumers
A compact exam contrast is this A compact exam contrast is this: liberalism asks how to protect liberty; welfare liberalism asks what background conditions liberty needs; neoliberalism asks whether those conditions themselves have become coercive through the state	
MECHANISM	Examples are evidence only when the answer states what they prove and where they stop proving it.
TRAP / LIMIT	Gauba's criticism means liberalism has no contribution -> He also credits it with rationalism, critique of feudalism and durable constitutional values
ANSWER LINE	Gauba names Nozick, alongside Hayek and Friedman, as a chief neoliberal/libertarian exponent of rollback liberalism, grounded in rights and entitlement rather than only in market-efficiency

7 COMPARISON MATRIX

Axis	Classical liberalism	Welfare liberalism	Neoliberalism
State	Minimal or "necessary evil"; protect life, property, contract and minimum services	Positive and enabling; secure dignified life through social services	Roll back expanded state intervention and control
Property	Strong protection of private property and market exchange	Property remains but may be taxed or regulated for welfare ends	Strong defence of market choice and resistance to redistributive compulsion
Equality	Leans toward formal legal equality and fair procedure	Gives more room to substantive equality through welfare measures	Suspicious of equality projects that require coercive redistribution
Liberty	Mainly negative liberty or freedom from restraint	Liberty plus conditions for a dignified life and self-development	Strong negative liberty, especially economic freedom from regulation
Welfare	Not a central state obligation beyond minimal services	Central responsibility of the welfare state	Often seen as overreach when financed through forced transfers
MECHANISM	Running the comparison on shared axes converts a description into an adjudication.		
ANSWER LINE	Candidates should pair this conceptual mapping with their own independently verified Economy-file dates, policy names and outcomes; this file supplies only the political-theory lens, not		

8 EXAMINER TRAP FIREWALL

TRAP	Liberalism always means anti-state politics
REPAIR	Gauba explicitly distinguishes classical negative liberalism from welfare positive liberalism
TRAP	Neoliberalism and liberalism are identical
REPAIR	Neoliberalism is a contemporary restoration of laissez-faire within the wider liberal family
TRAP	Hayek, Friedman and Nozick defend one identical doctrine
REPAIR	Gauba groups them for rollback purposes, but Hayekian spontaneous order, Friedmanite market freedom and Nozickian entitlement/minimal-state reasoning remain distinct arguments
TRAP	Liberalism only protects property and has nothing to do with constitutionalism
REPAIR	Gauba says liberalism's lasting value survives strongly as constitutionalism and limits on arbitrary power
TRAP	Welfare liberalism abandoned liberty
REPAIR	Its claim is that liberty needs supportive conditions, not merely absence of restraint
TRAP	Gauba's criticism means liberalism has no contribution
REPAIR	He also credits it with rationalism, critique of feudalism and durable constitutional values
MECHANISM	Each pair is a tested misreading followed by the exact repair the source supports.
ANSWER LINE	Directive decoding table:

9 OWNERSHIP BOUNDARIES AND CROSS-LINKS

THIS TOPIC OWNS - Companion depth file (Advanced enrichment beyond a core GS answer, not required for marks-adequacy): Political-Theory/advanced/03_Liberalism-and-Neoliberalism.md	DELEGATED OR EXCLUDED - For the ideology backdrop, read Political-Theory/basic/02_Ideology-and-End-of-Ideology.md first - For the later concept-level unpacking of liberty, equality and property, use Political-Theory/basic/18_Liberty-Equality-and-Property.md - For Indian constitutional applications of liberal values, cross-link to Polity/basic/Fundamental-Rights.md, Polity/basic/Directive-Principles.md and Polity/advanced/10_Amendment-and-Basic-Structure.md - For thinker-specific optional depth, link to Philosophy/paper-2/socio-political/Political-Ideologies.md, Philosophy/paper-2/socio-political/Social-Political-Ideals.md and Philosophy/paper-2/socio-political/Individual-and-State.md - Do not collapse liberalism into a single market slogan. -> Keep classical, welfare and neoliberal strands distinct
MECHANISM	Syllabus boundary discipline prevents a conceptual answer from being marked down as off-topic.
ANSWER LINE	Chain 3 - Objection: "Welfare liberalism abandoned liberty for equality." Reply: welfare liberalism's own claim is that liberty without supportive social conditions is too thin to be

10 REVISION CAPSULE AND ANSWER SPINE

● Liberalism puts individual liberty at the centre of public policy and opposes arbitrary authority	
● Its core vocabulary includes rights, consent, procedure, civil liberties, contract and rule-limited government	
● Classical liberalism is laissez-faire and negative-state; welfare liberalism is positive-state; neoliberalism is rollback liberalism	
● Gauba's critique focuses on bourgeois bias, unequal group power and the gap between market liberty and actual social welfare	
● Gauba's contribution claim is that liberalism replaced tradition with rationalism and survives most durably as constitutionalism	
● One-line answer spine: liberalism is a family doctrine of individual liberty under limited government, internally divided over how much state action liberty requires	
● Two-line enrichment: classical liberals fear state coercion, welfare liberals fear market-generated deprivation, and neoliberals fear the coercive growth of welfare-state control	
MECHANISM	The capsule is the last-minute recall rail; it should be reproducible in under two minutes.
ANSWER LINE	Do not present any sentence in this file as a verbatim quotation from Locke, Green, Hayek, Friedman, Nozick or Rawls unless it is already inside quotation marks in the source text used to

11 GS MAINS QUESTION ROUTES CARRIED BY THIS TOPIC

10-mark route Distinguish classical liberalism, welfare liberalism and neoliberalism. Answer in 150 words	10-mark route Explain Hayek's knowledge argument against comprehensive economic planning. Answer in 150 words
10-mark route Critically examine Nozick's entitlement theory and minimal state. Answer in 150 words	15-mark route How does welfare liberalism answer the classical liberal conception of freedom? Answer in 250 words
15-mark route Evaluate neoliberalism as both a revival of classical liberalism and a response to the welfare state. Answer in 250 words	15-mark route Compare the Hayekian, Nozickian and Rawlsian approaches to liberty, property and distributive justice. Answer in 250 words
MECHANISM	Directive fidelity, not content volume, decides the band a Mains answer lands in.

QUALIFIED VERDICT

Liberalism is not one doctrine but a moving intellectual movement: classical/negative liberalism liquidated feudal privilege and confined the state to life, property, contract and minimum common services; positive/welfare liberalism from Mill and Green to Hobhouse, Laski and Tawney gave the state a duty to secure a dignified life, and neoliberalism from Hayek, Friedman and Nozick tries to roll that state back in the name of spontaneous order. The examinable judgment is therefore never 'is liberalism pro- or anti-state?' but 'which liberal strand, on which criterion of liberty, and with what recorded criticism' - including Gauba's own charge that liberalism has clung to capitalism and that welfare may create an illusion of welfare rather than securing real welfare.